

Question No : 1 of 27

Marks: 1 (Budgeted Time 1 Min)

The magnitude of the slope of an indifference curve is:

Answer (Please select your correct option)

- ☐ Always equal to the ratio of the prices of the goods.
- ☐ Called the marginal rate of substitution.
- ☐ Equal to the ratio of the total utility of the goods.
- ☐ All of the given options.

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Question No : 2 of 27

Marks: 1 (Budgeted Time 1 Min)

For any given level of output:

Answer (Please select your correct option)

- ☐ Marginal cost must be greater than average cost.
- ☐ Average fixed cost must be greater than average variable cost.
- ☐ Fixed cost must be greater than variable cost.
- ☐ None of the given options is necessarily correct.

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Question No : 3 of 27

Marks: 1 (Budgeted Time 1 Min)

At the optimum combination of two inputs:

Answer (Please select your correct option)

- ☐ The slopes of the isoquant and isocost curves are equal.
- ☐ Costs are minimized for the production of a given output.
- ☐ The marginal rate of technical substitution equals the ratio of input prices.
- ☐ All of the given options.

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Question No : 4 of 27

Marks: 1 (Budgeted Time 1 Min)

Economies of scope refer to:

☐

Changes in technology.

☐

The long run.

☐

Multiproduct firms.

☐

Single product firms that utilize multiple plants.

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Question No : 5 of 27

Marks: 1 (Budgeted Time 1 Min)

Each point on the price consumption curve shows:

☐

Utility is maximized but income is not all spent.

☐

All income is spent but utility is not maximized.

☐

Utility is maximized and all income is spent.

☐

The level of utility is constant.

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Question No : 6 of 27

Marks: 1 (Budgeted Time 1 Min)

How the slope of an isoquant can be interpreted if we measure the capital on the vertical axis and labor on the horizontal axis?

☐

It can be interpreted as the rate at which the firm can replace capital with labor without changing the output rate.

☐

It can be interpreted as the average rate at which the firm can replace capital with labor without changing the output rate.

☐

It can be interpreted as the marginal product of labor.

☐

It can be interpreted as the marginal product of capital.

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Question No : 7 of 27

Marks: 1 (Budgeted Time 1 Min)

What can be measured by cost-output elasticity?

Answer (Please select your correct option)

- ☐ The curvature in the fixed cost curve.
- ☐ Steepness of the production function.
- ☐ Economies of scope.
- ☐ Economies of scale.

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Question No : 8 of 27

Marks: 1 (Budgeted Time 1 Min)

Keeping in view the table given below, what will be the real price of milk in 2000, by taking year 2000 as base year?

Year	Nominal price of milk	CPI
2000	0.75	50.5

Answer (Please select your correct option)

- ☐ 0.75
- ☐ 0.73
- ☐ 0.80
- ☐ 0.85

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Question No : 9 of 27

Marks: 1 (Budgeted Time 1 Min)

All of the following will cause a shift in the supply of gasoline EXCEPT?

Answer (Please select your correct option)

- ☐ A decrease in the price of crude oil.
- ☐ An increase in the wage rate of refinery workers.
- ☐ A decrease in the price of gasoline.
- ☐ An improvement in oil refining technology.

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Question No : 10 of 27

Marks: 1 (Budgeted Time 1 Min)

What does the convex shape of an indifference curve reflect?

Answer (Please select your correct option)

- ☐ An increasing marginal rate of substitution
- ☐ A decreasing marginal rate of substitution
- ☐ A constant marginal rate of substitution
- ☐ A marginal rate of substitution that first decreases then increases

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Question No : 11 of 27

Marks: 1 (Budgeted Time 1 Min)

According to the law of diminishing marginal utility, the slope of the marginal utility curve is:

Answer (Please select your correct option)

- ☐ Horizontal.
- ☐ Vertical.
- ☐ Negative.
- ☐ Positive.

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Question No : 12 of 27

Marks: 1 (Budgeted Time 1 Min)

As the price of food increases in the market from Rs.5 to Rs.8, quantity demanded falls from 100 units to 80 units. Based upon this information we can conclude that the demand for food is:

Answer (Please select your correct option)

- ☐ Elastic.
- ☐ Inelastic.
- ☐ Unit inelastic.
- ☐ Insufficient information for judgment.

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Question No : 13 of 27

Marks: 1 (Budgeted Time 1 Min)

If there exists bandwagon effect, then as a result of change in price, total revenue:

Answer (Please select your correct option)

- ☐ Changes less if there were no network externalities.
- ☐ Changes more if there were no network externalities.
- ☐ Changes the same amount as if there were no network externalities.
- ☐ Does not change at all.

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Question No : 14 of 27

Marks: 1 (Budgeted Time 1 Min)

Ali and Tanvir are shopping for new cars (one each). Ali expects to pay Rs.15,000 with 1/5 probability and Rs.20,000 with 4/5 probability. Tanvir expects to pay Rs.12,000 with 1/4 probability and Rs.20,000 with 3/4 probability. Refer to the above scenario, Tanvir's expected expense for his car is:

Answer (Please select your correct option)

- ☐ Rs.20,000.
- ☐ Rs.19,000.
- ☐ Rs.18,000.
- ☐ Rs.17,500.

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Question No : 15 of 27

Marks: 1 (Budgeted Time 1 Min)

An investment opportunity has two possible outcomes, and the value of the investment opportunity is Rs.500. One outcome yields a Rs.200 payoff and has a probability of 0.35. What is the probability of the other outcome?

Answer (Please select your correct option)

- ☐ 0.25
- ☐ 0.55
- ☐ 0.75
- ☐ 0.65

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Question No : 16 of 27

Marks: 1 (Budgeted Time 1 Min)

For which type of person concept of risk premium applies?

Answer (Please select your correct option)

☐ Risk averse.

☐ Risk neutral.

☐ Risk loving.

☐ All of the given options.

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Question No : 17 of 27

Marks: 1 (Budgeted Time 1 Min)



Answer (Please select your correct option)

☐ Average fixed cost is increasing.

☐ Variable cost equals fixed cost.

☐ Marginal cost is negative.

☐ Average total cost is negative.

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Question No : 18 of 27

Marks: 1 (Budgeted Time 1 Min)

The demand for books is expressed as: $Q_d = 120 - P$
The supply of books is expressed as: $Q_s = 5P$
Refer to the above scenario, if Price = Rs.15 then which of the following is true?

Answer (Please select your correct option)

☐ There is a surplus equal to 30.

☐ There is a shortage equal to 30.

☐ There is a surplus, but it is impossible to determine how large.

☐ There is a shortage, but it is impossible to determine how large.

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Question No : 19 of 27

Marks: 1 (Budgeted Time 1 Min)

When the current price is above the market-clearing level, we would expect:

Answer (Please select your correct option)

- ☐ Quantity demanded to exceed quantity supplied.
- ☐ Quantity supplied to exceed quantity demanded.
- ☐ Greater production to occur during the next period.
- ☐ Less production to occur during the next period.

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Question No : 20 of 27

Marks: 1 (Budgeted Time 1 Min)

Elasticity measures which of the following?

Answer (Please select your correct option)

- ☐ The slope of a demand curve.
- ☐ The inverse of the slope of a demand curve.
- ☐ The percentage change in one variable in response to a one percent change in another variable.
- ☐ Sensitivity of price to a change in quantity.

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Question No : 21 of 27

Marks: 1 (Budgeted Time 1 Min)

What does the positive slope of an Engel curve show?

Answer (Please select your correct option)

- ☐ It shows that both goods are normal.
- ☐ It shows that the good on the horizontal axis is normal.
- ☐ It shows as the price of the good on the horizontal axis increases, more of both goods is consumed.
- ☐ It shows as the price of the good on the vertical axis increases, more of the good on the horizontal axis is consumed.

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Question No : 22 of 27

Marks: 1 (Budgeted Time 1 Min)

Which of the following is a relevant measure in order to consider the labor's productivity growth nationwide?

Answer (Please select your correct option)

- ☐ Marginal product of labor.
- ☐ Average product of labor.
- ☐ Total product of labor.
- ☐ Wage.

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Question No : 23 of 27

Marks: 3 (Budgeted Time 6 Min)

Suppose an automobile company produces cars and tractors jointly. What are the benefits for the company to produce both things jointly?

Answer (Please [click here](#) to Add Answer)



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Question No : 24 of 27

Marks: 3 (Budgeted Time 6 Min)

Why is the marginal product of labor likely to increase and then decline in the short run?

Answer (Please [click here](#) to Add Answer)



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Question No : 25 of 27

Marks: 3 (Budgeted Time 6 Min)

- a. If a consumer has certain amount of money and he has to spend on two goods apple and banana. This individual completely prefers apple than banana. Keeping in view the given scenario what will be the necessary condition for satisfaction to be maximized when choosing between apple and banana?
- b. Will the consumer preference for this particular product like apple will be changed if there is slightly change in price of banana and change in income of consumer?

(Marks: 1.5+1.5)

Answer (Please [click here](#) to Add Answer)

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Question No : 26 of 27

Marks: 5 (Budgeted Time 10 Min)

"There are several assumptions of perfect competition but some assumptions are very important for perfect competition to hold otherwise that particular firm or market can not be characterized as perfectly competitive firm or market". In the light of this statement, briefly discuss those assumptions.

Answer (Please [click here](#) to Add Answer)

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Question No : 27 of 27

Marks: 5 (Budgeted Time 10 Min)

Suppose Ahmed is considering an investment in the stock exchange in which there are exactly three possible outcomes, whose probabilities and pay-offs are given below:

Outcome	Probability	Pay-offs(Rs.)
A	.3	100
B	0.5	50

Answer (Please [click here](#) to Add Answer)

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Marks: 5 (Budgeted Time 10 Min)

Outcome	Probability	Pay-offs(Rs.)
B	0.5	50
C	.2	-150

The expected value of the investment is Rs.25. Calculate variance for the investment and standard deviation.

Answer (Please [click here](#) to Add Answer)

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